

KRISHNA TEXTILE INDUSTRIES PRIVATE LIMITED

CIN: U17111MH2008PTC183456

Annual Report 2023-24

Plot No. 45, MIDC Industrial Area, Bhiwandi, Thane, Maharashtra - 421302

Email: accounts@krishnatextile.in

BOARD OF DIRECTORS

Name	Designation
Rajesh Kumar Sharma	Managing Director
Priya Rajesh Sharma	Whole Time Director
Vinod Prakash Mehta	Director
Sunita Vinod Mehta	Independent Director

DIRECTORS REPORT

Dear Members, Your Directors have pleasure in presenting the 16th Annual Report of Krishna Textile Industries Private Limited together with the Audited Financial Statements for the financial year ended 31st March 2024. The company is engaged in manufacturing of synthetic textile fabrics and yarn. During the year under review, the company achieved a turnover of Rs. 37,16,00,000 (Rupees Thirty Seven Crore Sixteen Lakhs). The company operates from its manufacturing facility at Bhiwandi, Maharashtra with an installed capacity of 120 looms.

FINANCIAL HIGHLIGHTS: The total revenue from operations for FY 2023-24 stood at Rs. 37.16 Crore as compared to Rs. 34.20 Crore in FY 2022-23, registering a growth of 8.66%. EBITDA for the year was Rs. 4.82 Crore representing an EBITDA margin of 12.97%. Profit After Tax (PAT) for the year was Rs. 1.24 Crore.

WORKING CAPITAL: The company avails working capital facilities from State Bank of India amounting to Rs. 8.00 Crore and from HDFC Bank Limited amounting to Rs. 5.00 Crore. Total outstanding debt as of 31st March 2024 stands at Rs. 12.80 Crore. The company's current ratio stands at 1.12 and Debt to Equity ratio is 2.34.

OPERATIONS: The company's factory is currently operating at approximately 72% of installed capacity. Raw material procurement is primarily from Shree Fabrics Private Limited and Mehta Synthetics Limited, both located in the Bhiwandi textile cluster. The company exports approximately 35% of its production to buyers in UAE and Bangladesh through its export arm Krishna Exports.

INDEPENDENT AUDITORS REPORT

To the Members of Krishna Textile Industries Private Limited

OPINION: We have audited the accompanying financial statements of Krishna Textile Industries Private Limited which comprise the Balance Sheet as at 31st March 2024, the Statement of Profit and Loss, and the Cash Flow Statement for the year then ended. In our opinion and to the best of our information, the aforesaid financial statements give the information required by the Companies Act 2013 and give a true and fair view of the state of affairs of the Company.

KEY AUDIT MATTERS: During the course of our audit, we observed that the company has certain related party transactions with Krishna Exports, a proprietorship concern of the Managing Director, which require careful scrutiny. The transactions aggregating to Rs. 33.60 Crore during the year represent a significant concentration of revenue from a single related party. We are unable to independently verify the commercial substance of all such transactions without additional documentation. The management has represented that all transactions are at arm's length basis.

EMPHASIS OF MATTER: We draw attention to the fact that the company has experienced 5 instances of cheque dishonour during the year ended 31st March 2024. Additionally, the Input Tax Credit claimed in GSTR-3B appears to be in excess of the credit available as per GSTR-2A by a material amount. The management has represented that reconciliation is in progress. Our opinion is not modified in respect of these matters.

BALANCE SHEET AS AT 31ST MARCH 2024

(All figures in Rupees Lakhs unless stated otherwise)

LIABILITIES	FY 2023-24	FY 2022-23
Equity Share Capital	35.00	35.00
Reserves and Surplus	53.20	40.40
Total Equity (Net Worth)	88.20	75.40
Long Term Borrowings (SBI TL)	62.50	75.80
Short Term Borrowings (WC Limits)	128.00	115.00
Trade Payables	48.30	42.10
Other Current Liabilities	18.50	15.20
Total Liabilities	345.50	323.50
ASSETS		
Fixed Assets (Net Block)	98.40	108.20
Capital Work in Progress	12.00	5.00
Inventories	85.60	78.30
Trade Receivables	92.40	84.50
Cash and Bank Balances	30.20	22.80
Short Term Loans and Advances	26.90	24.70

Total Assets	345.50	323.50
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STATEMENT OF PROFIT AND LOSS FOR FY 2023-24

(All figures in Rupees Lakhs)

Particulars	FY 2023-24	FY 2022-23
Revenue from Operations	3716.00	3420.00
Other Income	18.40	12.20
Total Revenue	3734.40	3432.20
Cost of Raw Materials Consumed	2680.20	2490.10
Employee Benefit Expenses	150.00	138.00
Finance Costs (Interest)	185.40	198.20
Depreciation	98.60	102.40
Other Expenses	481.80	442.30
Total Expenses	3596.00	3371.00
Profit Before Tax (PBT)	138.40	61.20
Tax Expense	14.20	8.10
Profit After Tax (PAT)	124.20	53.10
EBITDA	422.40	361.80
EBITDA Margin	11.37%	10.57%

KEY FINANCIAL RATIOS

Ratio	FY 2023-24	FY 2022-23	Benchmark
Current Ratio	1.12	1.08	> 1.33
Debt to Equity Ratio	2.34	2.53	< 2.00
Interest Coverage Ratio	1.75	1.31	> 2.00
DSCR	1.12	0.98	> 1.25
Net Profit Margin	3.34%	1.55%	> 5.00%
Return on Net Worth (RONW)	14.08%	7.04%	> 15%
Debtors Turnover (days)	90	90	< 60 days
Inventory Turnover (days)	115	115	< 90 days

RELATED PARTY TRANSACTIONS

The company has entered into transactions with Krishna Exports, a proprietorship firm owned by Mr. Rajesh Kumar Sharma (Managing Director). Total sales to Krishna Exports during FY 2023-24 amounted to Rs. 33,60,00,000 representing 90.42% of total revenue. The Board considers these transactions to be at arm's length. However, the high concentration of revenue from a related party poses a significant business continuity risk. No independent valuation of these transactions has been obtained.

CASH FLOW STATEMENT

Particulars	Amount (Rs. Lakhs)
Net Profit Before Tax	138.40
Add: Depreciation	98.60
Add: Finance Costs	185.40
Changes in Working Capital	(142.30)
Cash from Operating Activities (A)	280.10
Purchase of Fixed Assets	(85.80)
Cash from Investing Activities (B)	(85.80)
Repayment of Term Loan	(68.40)
Interest Paid	(185.40)
Cash from Financing Activities (C)	(253.80)
Net Increase in Cash (A+B+C)	(59.50)
Opening Cash Balance	381.70
Closing Cash Balance	322.20